

The Coates Way

Our operating model. Our standard. Our way.

Coates

July 2026





Acknowledgement of Country

We begin today by acknowledging the Traditional Custodians of the land on which we meet today and pay our respects to their Elders past and present.

We extend that respect to Aboriginal and Torres Strait Islander peoples here today.

Agenda

- | | | | |
|----|-------------------------------------|----|---|
| 01 | About This Session | 07 | Total Value of Hire |
| 02 | Our Purpose, Objectives and Values | 08 | Our Operating Model |
| 03 | What is <i>The Coates Way</i> ? | 09 | The Six Operating Disciplines |
| 04 | The Coates Way: one way we all work | 10 | Leadership |
| 05 | Understanding the Cog | 11 | What <i>The Coates Way</i> Means in Key Roles |
| 06 | The Coates Flywheel | 12 | Group Activity |



About This Session

Objectives and key takeaways

- Understand what **The Coates Way** is, including all core concepts, why it matters, and how it works in practice
- Be able to explain the key concepts simply and confidently to your own teams
- Identify what elements of **The Coates Way** is already in place in your function and where the gaps are
- Commit to specific changes in behaviour and process to address those gaps, with named owners and deadlines

Our Purpose, Objective and Values

Our Purpose

Supporting Australia's growth with leading equipment solutions

Our Objective

Australia's most trusted equipment partner — delivering **Best Service & Value**

Our Values



1

Care Deeply

Safety & wellbeing first, always



2

Customer Focused

Listen, anticipate, exceed expectations



3

Be Our Best

Accountability, learning, determination



4

One Team

Collaborative, trusted, inclusive



5

Competitive Spirit

Set stretch goals, Be THE best

The Coates Way



What is The Coates Way?

The Coates Way is our operating model — the framework for how every person at Coates works, makes decisions and creates value for customers every single day.

"It is a living framework to make us a better workplace, a more consistent business and a stronger competitor"



Who We Are

Our purpose, values and what we stand for as a business and as a team.



How We Work

Our operating model and the way we deliver for our customers.



What We Expect

The standards, behaviours and accountabilities owned by every employee & team.

The Coates Way



The Coates Way: one way we all work

Clear, consistent standards and shared ownership

The Coates Way is a simple, disciplined and repeatable way we run our business — the same way, in every branch and function.



What good looks like

Clear standards and guardrails so everyone knows what's expected.



Your role in the big picture

See how your work drives Coates' overall performance.



Consistency & momentum

Consistency where it matters builds the momentum we need to grow.

One operating system to deliver for customers

People

Operations

Assets

Financials

Connected by the seven traits.

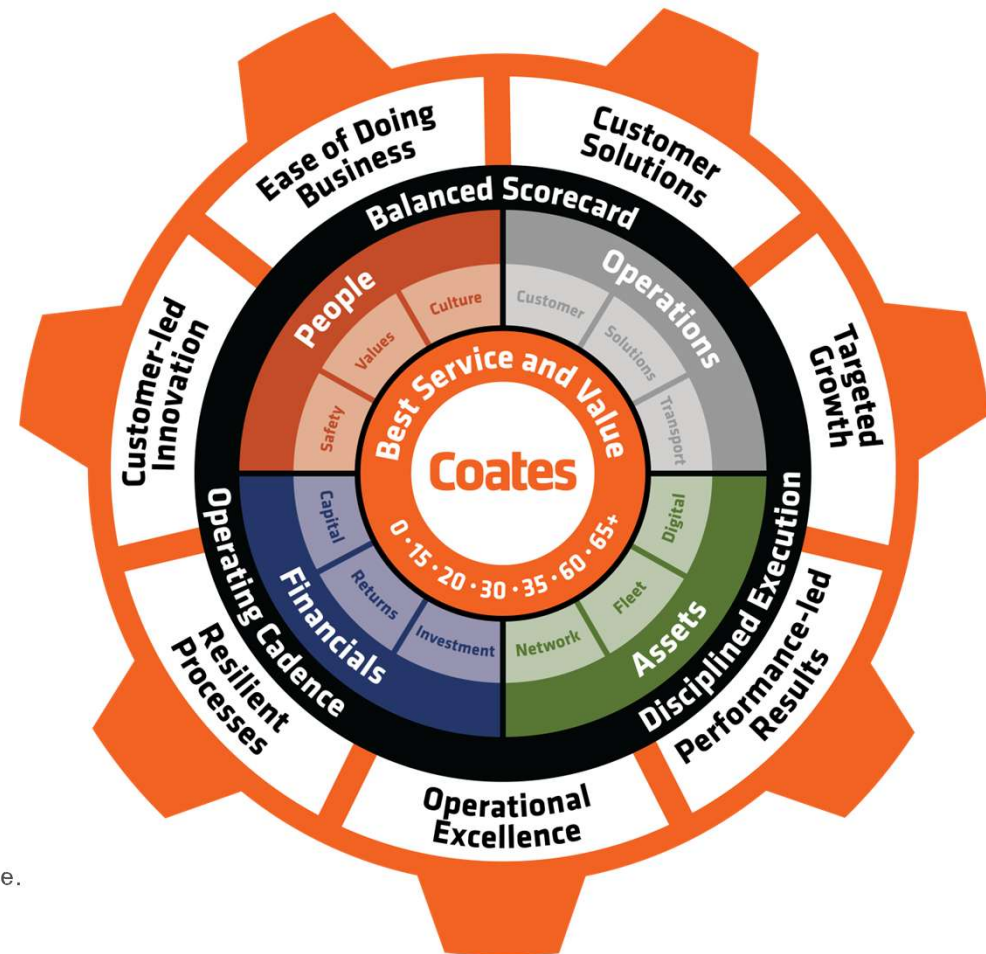
Goodbye to “choose your own adventure.” One Coates Way, every branch, every function, every day.

Understanding the Cog

The Four Rings

The Coates Way cog has four rings — each one builds on the last, from our core purpose at the centre to the behaviours that drive daily performance on the outside.

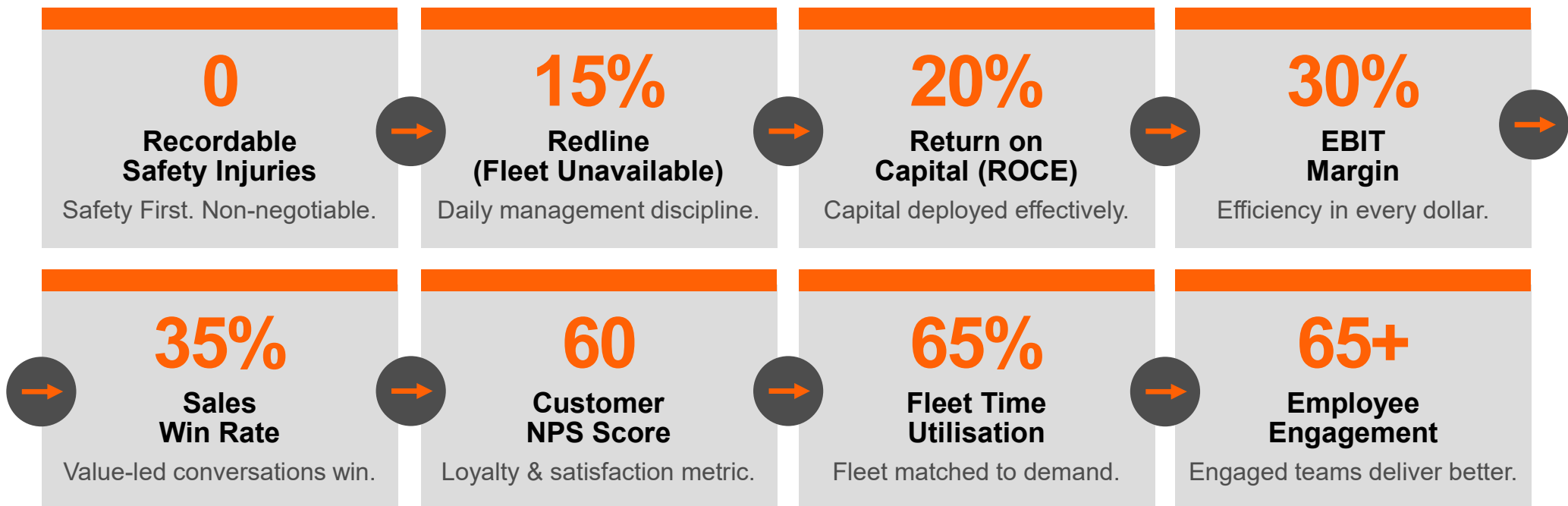
- 1 Centre: Best Service and Value**
The heart of the model. Everything Coates does exists to deliver this: Best Service and Value to customers. The KPI targets (0 · 15 · 20 · 30 · 35 · 60 · 65+) sit here as the non-negotiable benchmarks the whole business works towards.
- 2 Second ring: Performance Pillars (POAF)**
People, Operations, Assets and Financials — the four pillars that describe how Coates organises its work and where it focuses effort to create value for customers and returns for the business. They must work together to perform
- 3 Third Ring: Balanced Scorecard, Execution and Cadence**
How we measure performance. The Balanced Scorecard translates strategy into clear numbers reviewed daily, weekly, monthly and quarterly. This is where accountability becomes visible and action-oriented.
- 4 Fourth Ring: The Seven Traits (Teeth of the Cog)**
The outer ring contains the seven behaviours that make the whole model turn in practice. Without them, the cog doesn't move and Coates doesn't grow and perform



Understanding the Cog

The Centre – Best Service and Value / KPI Targets

At the centre of **The Coates Way** is **Best Service & Value** — the outcome every decision should support. Our **KPI targets** show how performance is measured, and every team should be able to link its daily work to at least one target.

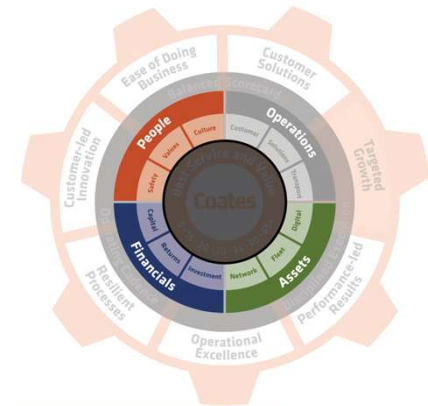


The Coates Way

Understanding the Cog

The Second Ring – Our Four Performance Pillars (POAF)

The POAF pillars describe how frontline teams deliver **Best Service & Value**



P	People	O	Operations	A	Assets	F	Financials
Safe, capable teams who know the standard. - Safety first, every day - Clear roles, coaching and follow-through - Training plans on track - One Team, high standards, no guessing		Safe, fast, right execution across the hire cycle. - Run structured daily and weekly meetings - Follow up actions and fix issues early - Deliver on promise for customers - Safe, compliant, professional handover		Fleet ready, available and earning a return. - Fleet quality, readiness and availability - Time utilisation target: 65% - Redline target: <15% - Actively manage fleet composition & utilisation		Disciplined performance that funds the flywheel. - Branch revenue & EBIT to budget - ROCE to budget - Labour costs to revenue to budget - Protect value, not just volume	

What good looks like in the branch: safe starts, clear standards, fast follow-up, ready fleet, strong customer delivery, and every team member knowing what good looks like.

Understanding the Cog

The Third Ring – Balanced Scorecard, Execution and Cadence

The balance scorecard, operating cadence and disciplined execution is where accountability becomes visible. Strategy without measurement is just intention. Cadence & discipline turns the scorecard to actions.



Balanced Scorecard

- Turns strategic priorities and plans into clear, measurable goals linked to budgets and targets.
- Organised into five sections: People, Operations, Assets, Financials and Sales Effectiveness.
- Shows monthly actuals, prior year, year-to-date performance and variance to budget and prior year.
- Uses Red / Amber / Green (RAG) to show what is on track, at risk or needing intervention.

GREEN
On Track

AMBER
At Risk

RED
Action Needed

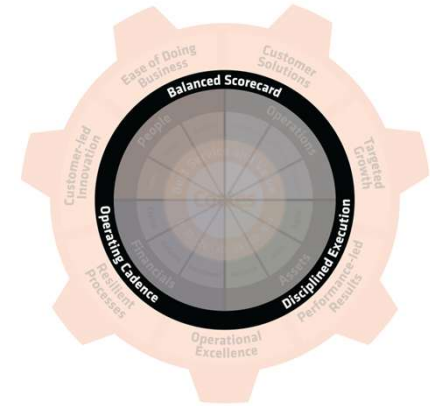
Execution and Cadence

- Creates the rhythm to review performance so issues do not become invisible.
- Monthly reviews are prepared in advance and leaders arrive ready to discuss their numbers.
- When a metric is red, it requires a documented root cause, corrective actions, an owner and a deadline.
- Persistent red metrics escalate to the next level for review and follow-through.

Understanding the Cog

The Third Ring – Balanced Scorecard Demonstration

Branch Managers have now been given access to the Balance scorecard.
Let's take you through a high level demonstration.



Understanding the Cog

The Fourth (outer) Ring – The Seven Traits

The outer ring — the teeth of the cog. These seven traits are the behaviours and disciplines that make the model work in practice. Without them, the cog doesn't turn.



01

Customer
Solutions

We understand what the customer is trying to get done and provide the right equipment, service and support to do it safely and efficiently

02

Targeted
Growth

Deliberate focus effort on the customers, sectors and jobs where Coates can win and grow value.

03

Performance-led
Results

Know the numbers, act early when performance is off track and follow through on solutions.

04

Operational
Excellence

Execute every hire safely, reliably and consistently so the customer gets what they expect every time.

05

Resilient
Processes

Follow standard processes. If something does not work, fix the process — do not create workarounds.

06

Customer-led
Innovation

Use frontline feedback, data and tools to solve real customer and branch problems in better ways.

07

Ease of Doing
Business

Make it easy for customers and teams to get things done through clean handovers, working systems and less friction.

The Coates Flywheel

This is what Coates does. A flywheel, once moving, generates momentum that grows the more we push it, with each stage feeding the next

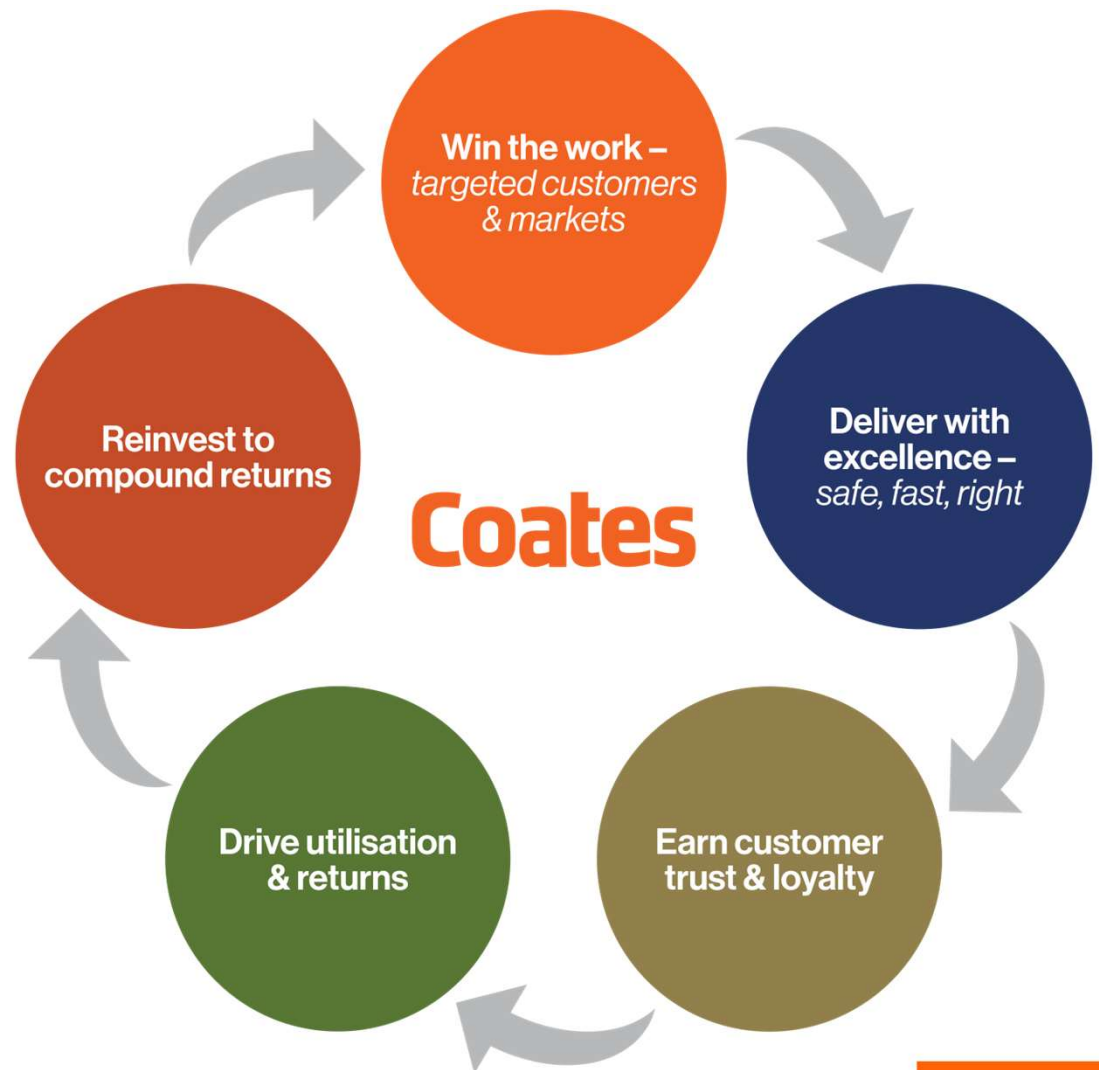
What accelerates it

- ✓ Fleet reliability & fast response
- ✓ Value-led sales conversations
- ✓ Strong customer relationships
- ✓ Disciplined reinvestment

Each step feeds the next — that's the compounding effect.

What slows it

- ✗ Equipment downtime
- ✗ Slow quoting & rate-led selling
- ✗ Poor data quality
- ✗ Inconsistent service

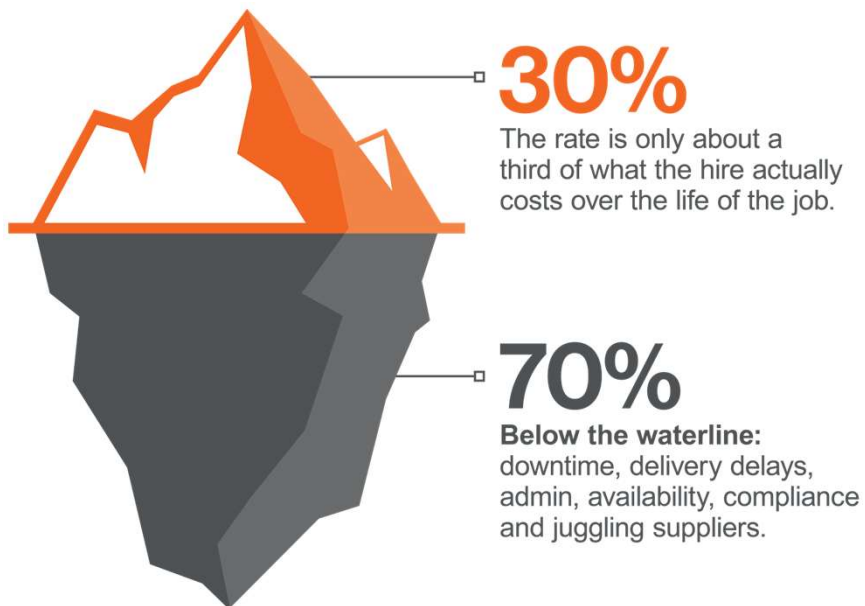


Total Value of Hire

What it means and why Coates is worth more than Total Hire

The customer is not just paying for equipment. They are paying for availability, reliability, safety, service and certainty.

Our premium is what makes us worth the premium



What this means for each role

Customer-facing (Sales/AM)

Was: Defending our rates when a competitor quotes lower

Now: Reframe: what is the customer's TOTAL cost if equipment fails, compliance is missing, or availability is unreliable? On that basis, Coates is often cheaper.

Operations (Workshop/Fitter)

Was: Getting a machine out the door quickly

Now: Every repair done right reduces a future hidden cost for the customer. A machine that fails on site costs the customer far more than the hire rate.

Transport

Was: Delivering the equipment on time

Now: How you show up, the handover quality, and the documentation you complete are part of the compliance and certainty value the customer is paying for.

Branch Manager

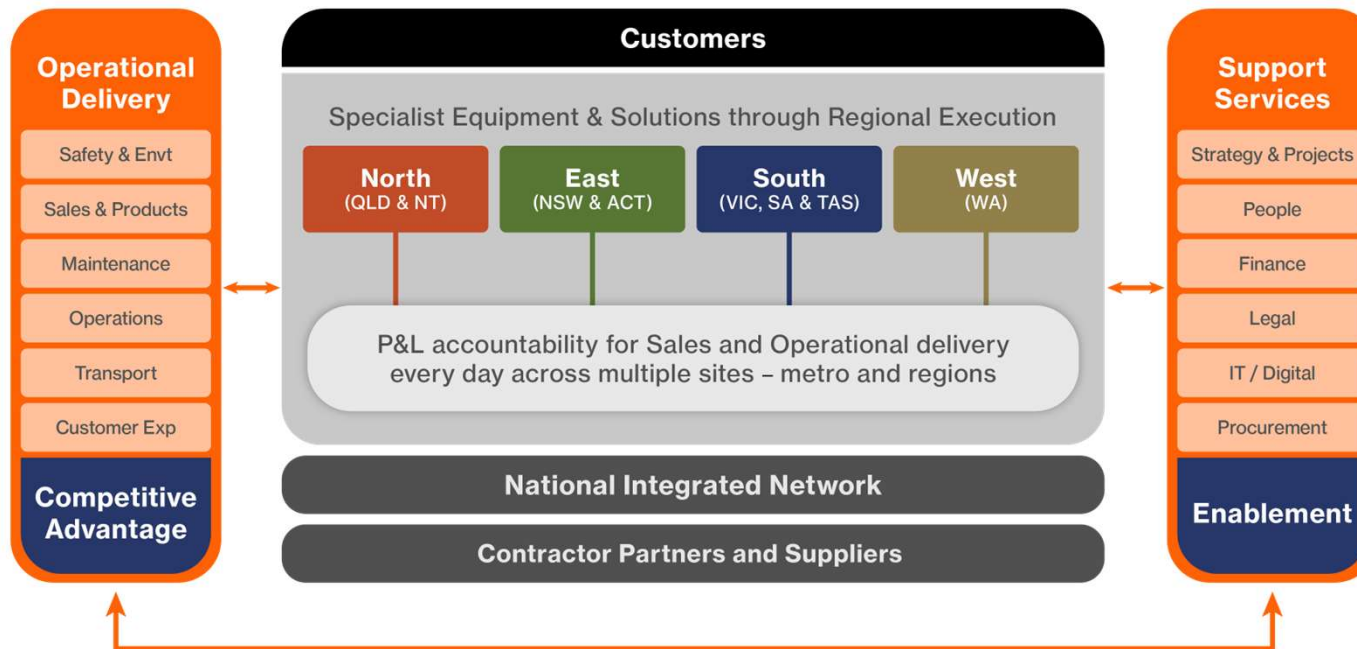
Was: Managing cost per transaction

Now: Total value is earned through fleet reliability & availability, response pace, and consistent execution across every interaction — not just the rate at contract sign-off.

The Coates Way

Our Operating Model

How we are structured and organised to create and deliver value



Business Units

- Accountable for P&L
- Lead daily customer delivery
- Ensure safety & responsiveness, reliability and problem solving across network

Operational Delivery

- Provide direction, standards and capability to support BUs
- Ensure operations are safe, consistent and scalable

Support Functions

- Provide frameworks, guidance, systems & expertise to help BUs perform, improve & adapt
- Support effective planning, risk management, investment & change

The Six Operating Disciplines

How We Show Up

These disciplines apply to this team, not just the frontline.

1

Safety First

Every job, every load, every person is safe. Stop tasks when something isn't right. Address risks and issues

2

Customer Centric

Keep the customer at the centre. Own issues until resolved. Sell value, not price.

3

Pace

Resolve customer issues within hours. Quotes out same day as speed wins in hire. Responsive support teams.

4

Open to Feedback

Ask: 'What could we do better?' Listen, acknowledge and act – even on uncomfortable feedback.

5

Reduce Friction

Make it easy to do business with Coates & each other. Flag workarounds and pain points – don't normalise them.

6

Cadence

Meetings on schedule & structured. Actions tracked and closed out. Regular 1:1 conversations

Leadership

How We Show Up

Holding the standard for everyone and each other.

We expect our leaders to:

- Model our values
- Provide clarity and direction
- Work collaboratively with their teams and each other to achieve our goals
- Be accountable and drive accountability



What does Accountability look like in practice:

- 1 **Clear expectations** – set early around behaviours, KPIs and goals and reinforced with regular conversations
- 2 **Honest timely feedback** – delivered promptly and directly, flows both ways and delivered with respect, including recognising great work
- 3 **Coach before consequence** – understand why someone fell short, provide support and training, have a plan to address & follow through
- 4 **Escalate when required** – repeated non-performance needs to be escalated through proper process to protect people & our brand

The Role of the leader

Creating Awareness and Behaviour Change to imbed the Coates Way

Your role in the rollout is critical. Our people trust their direct manager above all else, that means the way we explain, model and live the Coates Way, will matter more than any document or campaign.

What leaders are being asked to do:

- Understand the model well enough to explain it simply, including to frontline roles
- Identify and act on gaps in behaviours, processes and systems before being asked
- Report progress through the operating cadence, not just when things go wrong

What matters to frontline teams:

- Consistency of experience – being treated the same as colleagues at other branches
- Clarity about what is expected – no guessing
- Knowing their work matters and connects to results

What *The Coates Way* Means in Key Roles



Branch Manager

Own your branch P&L, safety record & NPS

Run structured daily and weekly meetings

Walk the yard daily – if it's not right, fix it now



Service Technician

Every machine you touch carries Coates' reputation

Complete service records accurately — no shortcuts

Flag faults immediately; escalate without hesitation



Transport Operator

Every delivery is a customer moment that matters

Risk assessments/checks every trip — no exceptions

Chain of Responsibility is a legal standard, not optional



Sales / Account Manager

Sell Total Value of Hire, not just the rate

Keep CRM current — it's how we plan fleet & capital

You are the voice of the customer inside Coates



Support Functions

Delays on your end become delays for the customer

Simplify processes to make work easier

Acknowledge quickly, give clear timelines, deliver

Group Activities



Group Activity: The Three Lenses across Coates Roles

Create small groups: Each group takes one role on a page and considers the below questions. 15 min working time, then share back to the room.

LENS 1

Making It Land - The Activation

Consider:

- What one moment would make the Coates Way feel real for this role, not just some corporate activity?
- What format will actually reach this role? (Toolbox talks, shift handover, notice boards, 1:1s)
- What would NOT work and why?

Share back: Single strongest activation idea.

LENS 2

Where Are Our Gaps?

Consider:

- Where is this role strongest in the Coates Way right now? What is the evidence?
- Where are the gaps? Is it behaviour, process, skill, or system?
- What are the top 3 priorities to close those gaps?
- What will be visibly different in 90 days if we get this right?

Share back: Top 3 gaps — each with a 90-day check-in metric.

LENS 3

Building Leaders Who Carry It

Consider:

- What is the gap between a leader who has READ the Coates Way and one who LIVES it?
- What fills that gap — experience, coaching, accountability, or something else?
- What support or development is needed, at which level, and who delivers it?

Share back: Strongest leadership development idea — with a clear owner, audience, and delivery timeframe.

Understanding Checklist

How We Show Up

- ☐ What is *The Coates Way*?
- ☐ Understanding the Cog
- ☐ The Coates Flywheel
- ☐ Total Value of Hire
- ☐ Our Operating Model
- ☐ The Six Operating Disciplines
- ☐ The role of the leader
- ☐ What the Coates Way means in Key roles

Appendix

The Cog in Practice



Fourth Ring – The Seven Traits

Trait 1: Customer Solutions

Provide the right combination of equipment, expertise and specialist services to deliver safe, efficient and successful outcomes for every customer.



What Good Looks Like

- Customer's needs/problem is understood before quoting
- Equipment + expertise + service bundled as one solution
- Frontline confident proposing total value, not just price
- Specialist services (HV, traffic, pumps) sold alongside core hire

Key Behaviours

- Ask "what are you trying to achieve?" before "what do you need?"
- Bring specialists in early — don't promise what you can't scope
- Visit the job site/customer when the value is high enough
- Document customer requirements clearly in CRM

Linked KPIs

- NPS — target 60
- Sales win rate — target 35%
- Cross-sell ratio (specialist attached to hire)
- Quote-to-confirm conversion

What To Avoid

- Quoting on rate alone — racing to the bottom
- Selling the machine the customer asked for when a better solution exists
- Specialists treated as "add-ons" rather than core to the solution
- Walking away from complex jobs instead of scoping them

Fourth Ring – The Seven Traits

Trait 2: Targeted Growth

Grow deliberately in sectors and regions where Coates can lead. Invest in fleet, people and capital where the returns justify it.



What Good Looks Like

- Clear view of where Coates wins and where we don't
- Capital allocated to high-return sectors first
- Branch and regional plans tied to sector targets
- Walk away from low-margin work that doesn't fit

Key Behaviours

- Know your top 10 customers and top 3 growth sectors
- Use data to choose where to invest; involve asset specialists
- Say "no" to opportunities that dilute focus
- Reinvest wins back into the same sector to compound

Linked KPIs

- Sector market share growth
- Revenue growth in target segments vs total
- ROCE — target 20%
- EBIT margin — target 30%

What To Avoid

- "Chasing revenue" without checking the margin
- Spreading capital thin across every sector
- Investing in regions to defend ego, not returns
- Underwriting growth on hope rather than evidence

Fourth Ring – The Seven Traits

Trait 3: Performance-led Results

Every metric has an owner. If a number is off track, someone is accountable for understanding why and fixing it — fast.



What Good Looks Like

- Every KPI has a named owner — no orphan numbers
- Variance to target is explained in plain English
- Actions tracked weekly until the number is back on
- Leaders coach to outcomes, not effort

Key Behaviours

- Run every meeting with the numbers, not opinions
- Diagnose root cause — don't just restate the gap
- Commit to a date and a person for every corrective action
- Celebrate wins; surface misses without blame

Linked KPIs

- Branch P&L tracked weekly
- Variance close-out rate
- Forecast accuracy
- Performance review cadence adherence

What To Avoid

- "Red" KPIs without an action plan
- Same explanation repeated monthly
- Hiding bad numbers
- No follow-through on performance

Fourth Ring – The Seven Traits

Trait 4: Operational Excellence

Every stage of the hire cycle — enquiry to return — executed safely, reliably and consistently. When a machine leaves the yard, it is right.



What Good Looks Like

- Zero recordable injuries
- Machines pre-checked, clean and ready
- On-time deliveries with correct kit
- Returns processed same day

Key Behaviours

- Pre-start checks — no shortcuts
- Fix issues before dispatch
- Stop work if unsafe
- Close inspections same day

Linked KPIs

- TRIFR 0
- On-time delivery
- Redline <15%
- NPS 60

What To Avoid

- Sending "good enough" equipment
- Treating safety as optional
- Leaving workarounds
- Unprocessed returns

Fourth Ring – The Seven Traits

Trait 5: Resilient Processes

Processes are standardised, documented and followed. When a process doesn't work, we fix it — we don't create workarounds.



What Good Looks Like

- One documented standard process
- Process owners empowered to improve
- Workarounds flagged
- Fast recovery when things go off track

Key Behaviours

- Follow process every time
- Raise issues immediately
- Fix root causes
- Train to standard

Linked KPIs

- Compliance audit rate
- Defect close-out time
- Workarounds per branch
- Repeat defects

What To Avoid

- "That's how we've always done it"
- Branch-specific shortcuts
- Outdated processes
- Fixing symptoms only

Fourth Ring – The Seven Traits

Trait 6: Customer-led Innovation

Use data, telemetry, digital tools and frontline feedback to solve real problems for customers. Innovation starts with a customer problem.



What Good Looks Like

- Data and telemetry drive decisions
- Frontline ideas/feedback reach leaders and acted upon
- Digital tools reduce friction
- Rapid testing and scaling

Key Behaviours

- Start with customer problem
- Use data and feedback
- Run small experiments
- Share learnings

Linked KPIs

- Pilot velocity
- Telemetry coverage
- Digital adoption
- Pilot success rate

What To Avoid

- "Innovation theatre"
- Tech without value
- Ignoring frontline ideas
- Endless pilots

Fourth Ring – The Seven Traits

Trait 7: Ease of Doing Business

One call, confirmed and scheduled in a single interaction. Internally, handovers are clean, systems work and approvals don't delay.



What Good Looks Like

- First-call resolution
- Same-day quotes
- Clean internal handovers
- Clear and swift approvals

Key Behaviours

- Own issues end-to-end, resolve with pace
- Clear RACI for decisions and approvals
- Flag friction points
- Make work easier for others

Linked KPIs

- First-call resolution
- Quote turnaround time
- Customer effort score
- Resolution time <2 hours

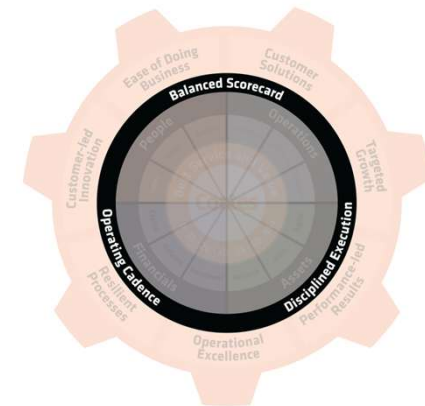
What To Avoid

- Passing customers around
- Delayed quotes
- Approval bottlenecks
- Customers chasing answers

Third Ring – Balanced Scorecard, Operating Cadence and Disciplined Execution

Balanced Scorecard

Strategy translated into clear numbers, reviewed at cadence. Where accountability becomes visible and action-oriented.



What Good Looks Like

- Single business scorecard
- All pillars visible
- Clear ownership
- Regular cadence reviews

Key Behaviours

- Build before meetings
- Focus on red metrics
- Use for decisions
- Annual recalibration

Linked KPIs

- Data quality
- Action completion
- Cadence adherence
- Forecast accuracy

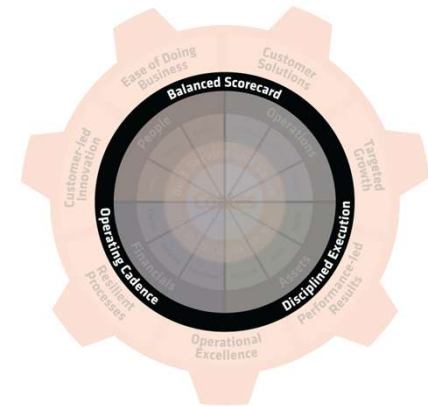
What To Avoid

- Reporting without action
- Repeated issues
- Multiple KPI versions
- Moving targets

Third Ring – Balanced Scorecard, Operating Cadence and Disciplined Execution

Execution and Cadence

PULSE meetings on schedule. Monthly reviews prepared. Actions tracked and closed out.
The drumbeat that makes the cog turn.



What Good Looks Like

- Daily checks
- Weekly PULSE
- Monthly reviews
- Quarterly strategy reviews

Key Behaviours

- Non-negotiable cadence
- Prepare beforehand
- Track actions
- Escalate properly

Linked KPIs

- Attendance
- Action close-out
- Planning visibility
- Decision rate

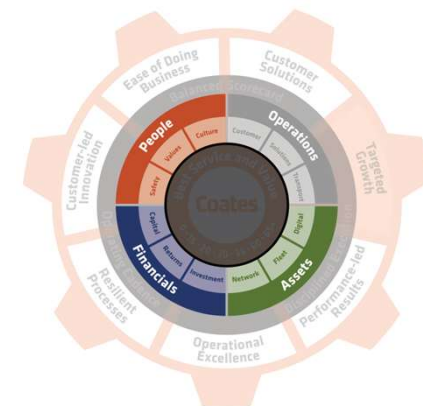
What To Avoid

- Cancelled meetings
- No prep
- Untracked actions
- Repeating issues

Second Ring – The Four Performance Pillars (POAF)

Pillar 1: People

Our people are the foundation of everything we deliver. Safe, engaged, capable teams create value every day.



What Good Looks Like

- Safety first culture
- Inclusive high-performance team
- Good, accountable leadership
- High engagement

Key Behaviours

- Lead by example
- Hire, onboard, develop, retain
- Address issues early
- Recognise & reward performance and values

Linked KPIs

- Engagement 65+
- Turnover / retention
- Regular performance 1:1s
- Talent pipeline & development

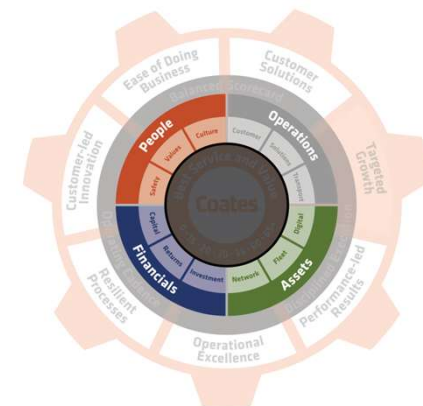
What To Avoid

- Tolerating bad behaviour
- Promoting tenure over capability
- Ignoring engagement results/culture issues
- Treating safety as admin

Second Ring – The Four Performance Pillars (POAF)

Pillar 2: Operations

How we execute the hire cycle — safely, reliably, consistently. Every interaction reflects the Coates brand.



What Good Looks Like

- Zero safety incidents
- Smooth hire cycle, minimal disputes
- Customer delivery on promise (equipment and transport)
- Strong sales pipeline

Key Behaviours

- Run weekly PULSE
- Daily yard walks
- Sell value
- Close actions / address team issues

Linked KPIs

- TRIFR 0
- NPS 60
- Win rate 35%
- Delivery reliability

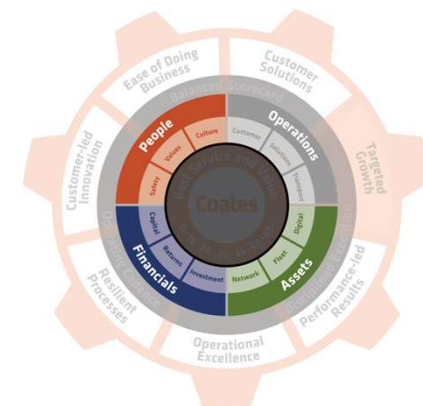
What To Avoid

- Firefighting mindset
- Discounting to win
- Low conversion and fleet availability
- Poor yard standards

Second Ring – The Four Performance Pillars (POAF)

Pillar 3: Assets

Our fleet is our business — every asset must earn its return. Quality, availability and lifecycle discipline.



What Good Looks Like

- Fleet aligned to demand
- Ready and available; zero first week breakdowns
- Redline controlled
- Telemetry visibility and utilised

Key Behaviours

- Maintained assets
- Data-driven capex
- Remove underperformers
- Invest in telemetry

Linked KPIs

- Utilisation 65%
- Redline <15%
- Telemetry coverage
- Fleet age

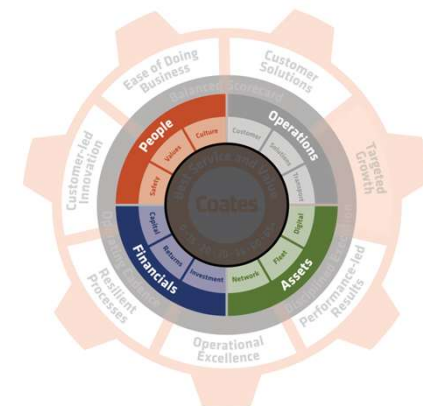
What To Avoid

- Unproven fleet purchases
- Idle "strategic" or reserved assets
- Hidden backlog
- Unjustified capex

Second Ring – The Four Performance Pillars (POAF)

Pillar 4: Financials

Disciplined financial performance that funds the flywheel. Every dollar must earn its return.



What Good Looks Like

- Understand key drivers and levers to manage budget
- EBIT and revenue growth
- Pricing and cost discipline
- Evidence-based capex and investment

Key Behaviours

- Sell value, defend pricing
- Balance short and long term commercial decisions
- Honest forecasting
- Cost scrutiny

Linked KPIs

- EBIT 30%
- ROCE 20%
- Price caps >50%
- Capex alignment

What To Avoid

- Discounting
- Habit-based capex
- Unjustified spend
- Poor forecasting

Centre

Best Service and Value / KPI Targets

The heart of the model. Everything Coates does is oriented around delivering Best Service and Value. The KPI targets (0 · 15 · 20 · 30 · 35 · 60 · 65+) sit here.



What Good Looks Like

- Trusted partner reputation
- Consistent delivery
- Value-based pricing
- All KPI targets met

Key Behaviours

- Focus on service and value
- Sell total value
- Resolve issues quickly
- Maintain KPI standards

Linked KPIs

- TRIFR 0
- Redline <15%
- ROCE 20%
- EBIT 30%
- Win rate 35%
- NPS 60
- Engagement 65+

What To Avoid

- Chasing volume without value
- Inconsistent or poor service
- KPI silos
- Accepting "good enough"



Coates